

KEY DRIVERS - BioFresh SAS

VALUES

Particular	Value
Revenue - FY2024 (base year)	€44,600
Net Financial Debt - FY2024	€3,200
Proposed Entry Enterprise Value	€75,000

HISTORICAL INCOME STATEMENT RATIOS

Particular	Value
Revenue CAGR (FY2022 → FY2024)	8.20%
Gross Margin (3-yr avg)	28.50%
SG&A (3-yr avg)	14.50%
EBITDA Margin - FY2024	14.00%
EBITDA Margin - 3-yr average	13.80%
D&A (% of revenue, all years)	3.00%
EBIT Margin - FY2024	11.00%
Interest Coverage Ratio - FY2024	€12
Effective Tax Rate	25.00%

WORKING CAPITAL

Particular	Value
Days Sales Outstanding (DSO)	€44
Days Inventory Outstanding (DIO)	€29
Days Payable Outstanding (DPO)	€37
NWC as % of Revenue	8.00%

CAPITAL EXPENDITURE (FY2024)

Particular	Value
Total Capex (% of revenue)	2.50%
of which: Maintenance Capex	1.50%
of which: Growth Capex	1.00%

PROJECTION ASSUMPTIONS (FY2025E – FY2029E)		
Particular	Value	
Projection period	5 years	
Terminal Growth Rate (for DCF)		2.50%
D&A (% of revenue - all years)		3.00%
Capex (% of revenue - all years)		2.50%
NWC (% of revenue - all years)		8.00%
Tax Rate (all years)		25.00%
THREE SCENARIOS - REVENUE GROWTH & MARGIN ASSUMPTIONS		
Particular	BEAR	
Revenue Growth Rate (p.a.)		3.00%
EBITDA Margin - Year 1		13.00%
EBITDA Margin - Years 2–5		13.00%
LBO TRANSACTION STRUCTURE		
Particular	Value	
Equity Contribution		40.00%
LBO Debt Interest Rate		7.00%
Annual Debt Amortization		€5,000
Exit EV/EBITDA Multiple (Year 5)	12 yr	
PE Fund Hurdle Rate		20.00%

ASSUMPTIONS - BioFresh SAS

All amt are in €k

HISTORICAL ANCHOR VALUES

Revenue FY2024	€44,600
Revenue CAGR (FY22-FY24)	8.2%
Revenue FY2023	€41,220
Revenue FY2022	€38,096
Net Financial Debt FY2024	€3,200

HISTORICAL RATIOS

Gross Margin	28.5%
SG&A % of Revenue	14.5%
EBITDA Margin FY2024	14.0%
D&A % of Revenue	3.0%
Interest Coverage	11.5
Implied Interest Expense FY2024	€543
Tax Rate	25.0%

PROJECTION PARAMETERS

D&A % (all years)	3.0%
Capex % (all years)	2.5%
NWC % (all years)	8.0%
Terminal Growth Rate	2.5%

SCENARIOS

BEAR - Revenue Growth	3.0%
BEAR - EBITDA Margin (all years)	13.0%
BASE - Revenue Growth	8.0%
BASE - EBITDA Margin Yr1	14.5%

BASE - EBITDA Margin Yr2-5	15.0%
BULL - Revenue Growth	12.0%
BULL - EBITDA Margin (all years)	15.5%
LBO STRUCTURE	
Entry EV	€75,000
Equity %	40.0%
Equity Invested	€30,000
Senior Debt	€45,000
LBO Interest Rate	7.0%
Annual Amortization	€5,000
Exit Multiple	12.0x
WACC INPUTS	
Risk-Free Rate (10Y OAT)	3.3%
Equity Beta	0.85
Equity Risk Premium	5.5%
Pre-Tax Cost of Debt	5.5%
Debt Weight	30.0%
Equity Weight	70.0%
DERIVED WACC	
Cost of Equity	8.0%
After-Tax Cost of Debt	4.1%
WACC	6.8%

INCOME STATEMENT + FCF BRIDGE

	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	€38,096	€41,220	€44,600	€48,168	€52,021	€56,183	€60,678	€65,532
Revenue Growth		8.2%	8.2%	8.0%	8.0%	8.0%	8.0%	8.0%
Gross Profit	€10,857	€11,748	€12,711	€13,728	€14,826	€16,012	€17,293	€18,677
SG&A	(€5,524)	(€5,977)	(€6,467)	(€6,984)	(€7,543)	(€8,147)	(€8,798)	(€9,502)
EBITDA	€5,333	€5,771	€6,244	€6,984	€7,803	€8,427	€9,102	€9,830
EBITDA Margin	14.0%	14.0%	14.0%	14.5%	15.0%	15.0%	15.0%	15.0%
D&A	(€1,143)	(€1,237)	(€1,338)	(€1,445)	(€1,561)	(€1,685)	(€1,820)	(€1,966)
EBIT	€4,190	€4,534	€4,906	€5,539	€6,242	€6,742	€7,282	€7,864
Tax	(€1,048)	(€1,134)	(€1,227)	(€1,385)	(€1,561)	(€1,686)	(€1,820)	(€1,966)
NOPAT	€3,142	€3,400	€3,679	€4,154	€4,681	€5,056	€5,462	€5,898
FREE CASH FLOW BRIDGE (Unlevered)								
	FY2022	FY2023	FY2024	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Add back D&A	€1,143	€1,237	€1,338	€1,445	€1,561	€1,685	€1,820	€1,966
Less: Capex	(€952)	(€1,031)	(€1,115)	(€1,204)	(€1,301)	(€1,405)	(€1,517)	(€1,638)
Less: Change in NWC		(€250)	(€270)	(€285)	(€308)	(€333)	(€360)	(€388)
UNLEVERED FREE CASH FLOW		€3,356	€3,632	€4,110	€4,633	€5,003	€5,405	€5,838

WACC CALCULATION - BioFresh SAS

STEP 1 - Cost of Equity (CAPM)

Risk-Free Rate	3.3% 10Y OAT - Banque de France
Equity Beta	0.85 Damodaran
Equity Risk Premium (ERP)	5.5% Damodaran
Cost of Equity	8.0%

STEP 2 - After-Tax Cost of Debt

Pre-Tax Cost of Debt	5.5%
Tax Rate	25.0%
After-Tax Cost of Debt	4.1%

STEP 3 - WACC

Equity Weight (We)	70.0%
Debt Weight (Wd)	30.0%
WACC	6.8%

DCF VALUATION - BioFresh SAS

	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Unlevered FCF	€4,110	€4,633	€5,003	€5,405	€5,838
PV Factor	0.9362	0.8764	0.8204	0.7681	0.7190
PV of FCF	€3,848	€4,060	€4,105	€4,151	€4,197
ENTERPRISE VALUE BRIDGE (BASE CASE)					
Sum of PV(FCF)					€20,362
Terminal FCF (FY2030E)					€5,984
Terminal Value (Gordon Growth)					€138,513
PV of Terminal Value					€99,593
ENTERPRISE VALUE (DCF)					€119,954
Less: Net Financial Debt					(€3,200)
EQUITY VALUE (DCF)					€116,754
NPV OF ACQUISITION (All Three Scenarios)					
Particular	BEAR	BASE	BULL		
DCF Enterprise Value	€84,046	€119,959	€144,151		
Less: Entry EV	(€75,000)	(€75,000)	(€75,000)		
NPV of Acquisition	€9,046	€44,959	€69,151		
DCF Implied EV/EBITDA	12.5x	12.2x	11.8x		
LBO IRR (Yr 5 exit at 12x)	15.1%	26.7%	33.3%		
LBO MOIC	2.0x	3.3x	4.2x		

SCENARIO ANALYSIS

BEAR SCENARIO - Growth 3% p.a. EBITDA Margin 13.0%					
	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	€45,938	€47,316	€48,736	€50,198	€51,704
EBITDA	€5,972	€6,151	€6,336	€6,526	€6,722
D&A	€1,378	€1,419	€1,462	€1,506	€1,551
EBIT	€4,594	€4,732	€4,874	€5,020	€5,171
NOPAT	€3,446	€3,549	€3,656	€3,765	€3,878
Less: Capex	€1,148	€1,183	€1,218	€1,255	€1,293
Less: Increase in NWC	€107	€110	€114	€117	€121
UNLEVERED FREE CASH FLOW	€3,569	€3,675	€3,786	€3,899	€4,015
<i>PV Factor</i>	0.9362	0.8764	0.8204	0.7681	0.7190
<i>PV of UFCF</i>	€3,341	€3,221	€3,106	€2,995	€2,887
BEAR					
Sum of PV					€15,550
Terminal FCF					€4,115
Terminal Value (Gordon Growth)					€95,263
PV of Terminal Value					€68,496
DCF ENTERPRISE VALUE					€84,046
NPV OF ACQUISITION					€9,046
BEAR - LBO RETURNS					
Exit EBITDA					€6,722
Exit EV					€80,664
Remaining Debt					€20,000

Exit Equity Value						€60,664
Equity Invested						€30,000
MOIC						2.0x
IRR (Exit Year 5)						15.1%
BASE SCENARIO - Growth 8% p.a. EBITDA Margin 14.5%						
	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	
Revenue	€48,168	€52,021	€56,183	€60,678	€65,532	
EBITDA	€6,984	€7,803	€8,427	€9,102	€9,830	
D&A	€1,445	€1,561	€1,685	€1,820	€1,966	
EBIT	€5,539	€6,242	€6,742	€7,282	€7,864	
NOPAT	€4,154	€4,682	€5,057	€5,462	€5,898	
Less: Capex	€1,204	€1,301	€1,405	€1,517	€1,638	
Less: Increase in NWC	€285	€308	€333	€360	€388	
UNLEVERED FREE CASH FLOW	€4,110	€4,634	€5,004	€5,405	€5,838	
<i>PV Factor</i>	0.9362	0.8764	0.8204	0.7681	0.7190	
<i>PV of UFCF</i>	€3,848	€4,061	€4,105	€4,151	€4,198	
BASE						
Sum of PV						€20,363
Terminal FCF						€5,984
Terminal Value (Gordon Growth)						€138,517
PV of Terminal Value						€99,596
DCF ENTERPRISE VALUE						€119,959
NPV OF ACQUISITION						€44,959
BASE - LBO RETURNS						
Exit EBITDA						€9,830

Exit EV						€117,960
Remaining Debt						€20,000
Exit Equity Value						€97,960
Equity Invested						€30,000
MOIC						3.3x
IRR (Exit Year 5)						26.7%
BULL SCENARIO - Growth 12% p.a. EBITDA Margin 15.5%						
	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E	
Revenue	€49,952	€55,946	€62,660	€70,179	€78,600	
EBITDA	€7,743	€8,672	€9,712	€10,878	€12,183	
D&A	€1,499	€1,678	€1,880	€2,105	€2,358	
EBIT	€6,244	€6,994	€7,832	€8,773	€9,825	
NOPAT	€4,683	€5,246	€5,874	€6,580	€7,369	
Less: Capex	€1,249	€1,399	€1,567	€1,754	€1,965	
Less: Increase in NWC	€428	€480	€537	€602	€674	
UNLEVERED FREE CASH FLOW	€4,505	€5,045	€5,650	€6,329	€7,088	
PV Factor	0.9362	0.8764	0.8204	0.7681	0.7190	
PV of UFCF	€4,217	€4,421	€4,635	€4,861	€5,096	
BULL						
Sum of PV						€23,230
Terminal FCF						€7,265
Terminal Value (Gordon Growth)						€168,176
PV of Terminal Value						€120,921
DCF ENTERPRISE VALUE						€144,151
NPV OF ACQUISITION						€69,151

BULL - LBO RETURNS

Exit EBITDA	€12,183
Exit EV	€146,196
Remaining Debt	€20,000
Exit Equity Value	€126,196
Equity Invested	€30,000

<u>MOIC</u>	4.2x
--------------------	-------------

IRR (Exit Year 5)	33.3%
--------------------------	--------------

LBO MODEL - BioFresh SAS

SOURCES & USES

USES		SOURCES	
Purchase Price	€75,000	Equity (40%)	€30,000
Advisory Fees (2%)	€1,500	Senior Debt (60%)	€45,000
TOTAL USES	€76,500	TOTAL SOURCES	€75,000

DEBT SCHEDULE (Senior Secured)

	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029
Beginning Debt Balance	€45,000	€45,000	€40,000	€35,000	€30,000	€25,000
Interest Expense	(€3,150)	(€3,150)	(€2,800)	(€2,450)	(€2,100)	(€1,750)
Principal Repayment		(€5,000)	(€5,000)	(€5,000)	(€5,000)	(€5,000)
Ending Debt Balance	€45,000	€40,000	€35,000	€30,000	€25,000	€20,000

CREDIT STATISTICS (Base Case EBITDA)

	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029
EBITDA	€6,244	€6,984	€7,803	€8,427	€9,102	€9,830
Debt / EBITDA	7.2x	5.7x	4.5x	3.6x	2.7x	2.0x
Interest Coverage		2.2x	2.8x	3.4x	4.3x	5.6x

EXIT ANALYSIS & RETURNS (Base Case)

Exit EBITDA	€9,830
Exit EV/EBITDA Multiple	12.0x

Exit Enterprise Value	€117,958					
Less: Remaining Debt	(€20,000)					
Exit Equity Value	€97,958					
Equity Invested	€30,000					
MOIC	3.3x					
Equity Cash Flows for IRR	Yr 0	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
	(€30,000)	-	-	-	-	€97,958
IRR (Base Case)	26.70%					

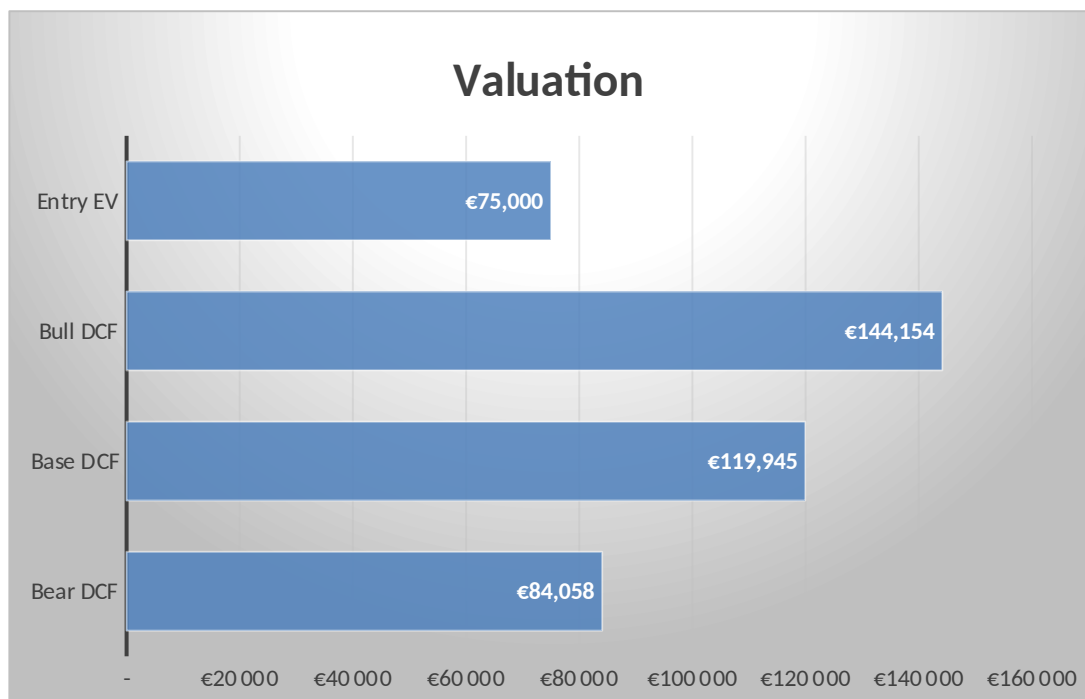
NPV SENSITIVITY

Wacc / Revenue growth	0.0%	3.0%	5.0%	8.0%	10.0%	12.0%	15.0%
5.00%	€79,297	€98,271	€111,919	€133,978	€149,794	€166,543	€193,497
6.00%	€35,412	€48,667	€58,196	€73,587	€84,617	€96,292	€115,073
6.82%	€14,583	€25,130	€32,709	€44,945	€53,709	€62,984	€77,896
8.00%	(€4,497)	€3,579	€9,377	€18,733	€25,431	€32,514	€43,898
9.00%	(€15,248)	(€8,559)	(€3,758)	€3,983	€9,521	€15,377	€24,783
10.00%	(€23,136)	(€17,458)	(€13,386)	(€6,824)	(€2,131)	€2,828	€10,791

Gold = Base Case (WACC 6.82%, Growth 8%)

VALUATION SUMMARY - BioFresh SAS

Method	Implied EV (€k)	vs. Offer Price
DCF - Bear Scenario	€84,046	+12.1% 3% growth, 13.0% margins - conservative
DCF - Base Scenario	€119,959	+59.9% 8% growth, 14.5-15.0% margins - base
DCF - Bull Scenario	€144,151	+92.2% 12% growth, 15.5% margins - optimistic
Entry EV (Offer Price)	€75,000	+0.0% Verdant Capital NBO



CONCLUSION & INVESTMENT RECOMMENDATION

The DCF produces the highest implied enterprise value €88M–€144M depending on scenario because it capitalises future growth. At an 8% revenue CAGR and margin expansion to 15%, BioFresh generates over €5.8M of unlevered free cash flow by FY2029. The terminal value alone accounts for approximately 83% of total DCF value meaning the model is acutely sensitive to the long-term growth and WACC assumptions.

The offer price of €75M sits deliberately between these two bounds. Verdant pays a 31% control premium over the trading-comps median €57M compensating the founders for relinquishing ownership. At the same time, Verdant acquires the asset at a 37% discount to the base-case DCF value capturing substantial upside. This is the fundamental of private equity buy below intrinsic value, apply operational improvements, exit at a higher multiple.

NPV ANALYSIS & RECOMMENDATION

The acquisition NPV is positive in all three scenarios- +€13M (Bear), +€45M (Base), +€69M (Bull). Even in the conservative bear case 3% revenue growth, compressed 13% EBITDA margin, the deal generates positive value for Verdant. The LBO generates an IRR of 16.2% in the bear case below the 20% hurdle but manageable, 26.7% in base case above hurdle which investment committee requirement mets and 33.3% in the bull case.